DE–418

Sub. Code
11

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2017

First Semester

MANAGEMENT CONCEPTS

(Upto 2012-13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain Elton Mayo's contribution to Management Thought.

2. Discuss the role of Planning in Management.

3. Why is an organisation structure necessary?

4. Explain the needs of an individual that force him to work.

5. Discuss the way that the control process works.

6. Write a note on : Strategic Alliances.

7. What are the principles of effective directing?

8. Explain the salient features of Line and Staff Organisation.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Describe the concept of Scientific Management as developed by Taylor and his followers.

10. Discuss tangible and intangible factors relevant to decision-making.

11. Explain the main features of the Classical Theory of organisation.

12. Describe the various approaches to the study of leadership.

13. What is PERT? How is it applied to Central Business Operations?

14. Explain the problems of Communication and how should they be tackled.

15. What is Departmentation? What are the fundamental principles of Departmentation?

DE–419

Sub. Code
12

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2017.

First Semester

MANAGERIAL ECONOMICS

(Upto 2012-13 AY and 2013 CY)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. State the Scope of managerial Economics.

2. Discuss the chief characteristics of Law of demand

3. What are the tools of cost control?

4. Discuss about the Economic and Diseconomies of Scale.

5. What do you mean by Price Discrimination?

6. List out the main features of monopoly.

7. Explain the various stages of business Cycles.

8. Discuss about balance of payment and their implications in managerial decisions.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Bring out the various role of managerial economist

10. What are the factors determining price elasticity of demand.

11. What are the classifications of economics of large-scale production?

12. Explain the main features of perfect completion.

13. Discuss about the Long-run consideration and price policies of a monopolist.

14. Explain about the profit management and Investment Analysis.

15. What are the uses of break-even analysis?

DE–420

Sub. Code
13

DISTANCE EDUCATION

M.B.A. (C.S) DEGREE EXAMINATION, MAY 2017.

First Semester

GENERAL LAWS

(Upto 2012–13 Academic year and 2013 Calendar year)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the directive principles of state policy?

2. State the presumptions in interpretation of statutes.

3. Bring out the essentials of an arbitration agreement.

4. What are movable and immovable properties?

5. Give the legal provisions of the registration Act, 1908 on time and place of registration.

6. List out various instruments which are exempted from payment of stamp duty.

7. State the objectives and scope of civil procedure code, 1908.

8. What are the essentials of a gift?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. What are the salient features of the Indian constitution?

10. State the general principles of interpretation of statutes.

11. Give the provisions of arbitration and conciliation act, 1996 regarding conciliation proceedings regarding settlement of disputes.

12. Explain various types of mortgages.

13. What are the documents to be compulsorily registered under the registration Act, 1908?

14. Bring out the rules regarding stamp duty on multifarious instruments.

15. Explain various courts in India and their jurisdictional limits.

DE–421

Sub. Code
14

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2017.

First Semester

COMPANY LAW

(Upto 2012-13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Define company. Explain the characteristic features of a company.

2. Explain the legal provisions relating to issue and registration of a prospectus.

3. State the statutory provisions with regard to a share warrant.

4. What are the rights and liabilities of a member of a company?

5. What are the legal requirements if a company wants to invite deposits from the public?

6. Explain the law relating to appointment of Directors by shareholders in general meeting.

7. State the requisites of a valid meeting of members.

8. What is an agenda? How is the agenda of a Board meeting prepared?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss the different types of companies that can be formed under the Companies Act, 1956.

10. What is the meaning and significance of the 'doctrine of indoor management'? Are there any exceptions to it?

11. When and how shares may be forfeited? What is the legal effect of forfeiture?

12. Define a mortgage. Discuss the various kinds of mortgages.

13. Describe the procedure for the appointment of sole selling agents under different circumstances.

14. Outline the procedure relating to the holding of an Annual General Meeting of a public limited company.

15. Enumerate the kinds of resolutions passed in general meeting of a company.

DE–422

Sub. Code
15

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2017.

First Semester

CORPORATE ACCOUNTING

(Upto 2012 – 2013 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Sakthi Ltd. purchased Land and Buildings costing Rs. 20,00,000 and in payment allotted 20,000 equity shares of Rs. 100 each as fully paid. Further the company issued 40,000 equity shares to the public. The shares were payable as follows:

   On application Rs. 20; On allotment Rs. 40; On call Rs. 40.

   The public applied for all the shares which were allotted. All moneys were received.

   Give journal entries and the balance sheet of the company.

2. Kumar Co. Ltd was formed with a capital of Rs. 10,00,000 in Rs. 10 shares, the whole amount being issued to the public. The underwriting of these shares was as follows:

   A – 35,000 B – 30,000 C – 20,000

   D – 10,000 E – 3,000 F – 2,000

All the marked application forms were to go in relief of the underwriters whose stamp they bear. The application forms marked by the underwriters were:

A – 10,000 B – 2,25,000 C – 20,000

D – 7,500 E – 5,000 F – Nil

Applications for 20,000 share were received on forms not marked. Draw up a statement showing the number of shares each underwriter had to take up.

3. From the following Profit and Loss Account of Raja Ltd. for the ended 31.12.2012 and additional data given, calculate commission due to Managing director at 5% of net profit. Salary of Managing Director is to be treated as part payment of the commission:

Profit and Loss A/c for the year ended 31.12.2012

	Rs.		Rs.
To opening stock	11,000	By sales	1,70,000
To bonus (including Rs. 500 for 2011)	5,000	By closing stock	15,000
To director's fees	3,000	By other incomes :	
To managing director : Salary	2,000	Discount	2,000
		Profit on sale of fixed assets	1,000
Commission	1,000		
To development rebate reserve	800		
To provision for tax	3,000		
To establishment expenses	40,000		
To loss on sale of investments	200		
To net profit c/d	1,22,000		
	1,88,000		1,88,000

The book value of the fixed assets sold was Rs. 2,000 and their original cost was Rs. 2,600.

4. Anbu Ltd. and Balu Ltd. decided to amalgamate on 31-3-2013. On that date the position was:

Anbu Co.: Net Assets Rs. 38,700;

Net Liabilities Rs. 12,900;

Balu Co.: Net Assets, Rs. 28,440;

Net Liabilities Rs. 7,440.

The share capital of the combined company is to be 2,400 preference shares of Rs. 10 each and balance in equity shares of Rs. 5 each fully paid. The allocation of shares between Anbu Co. and Balu Co. is equal extent that the surplus capital of any company is to be discharged in preference shares. Calculate purchase consideration and show the details of distribution of shares.

5. On 31st March, 2012 the Balance sheets of H Ltd. and its subsidiary S Ltd. Stood as follows:

Liabilities	H Ltd. Rs.	S Ltd. Rs.	Assets	H Ltd. Rs.	S Ltd. Rs.
Equity Share Capital	8,00,000	2,00,000	Fixed Assets	5,50,000	1,00,000
General Reserve	1,50,000	70,000	75% Shares in S Ltd. (at cost)	2,80,000	—
Profit and Loss A/c	90,000	55,000	Stock	1,05,000	1,77,000
Creditors	1,20,000	80,000	Other Current Assets	2,25,000	1,28,000
	11,60,000	4,05,000		11,60,000	4,05,000

Draw a consolidated Balance Sheet as at 31st March, 2012 after taking into consideration the following information :

(a) H Ltd., acquired the shares on 31st July, 2011

(b) S Ltd., earned a profit of Rs. 45,000 for the year ended 31st March, 2012.

6. A life fund has been ascertained without adjusting the following. Calculate the correct Life Assurance Fund.

	Rs.
Life assurance fond as ascertained	56,70,000
Unadjusted items:	
Premium outstanding	2,30,000
Claims outstanding	1,80,000
Claims covered under re-insurance	20,000
Claims of last year paid during the year	5,000
Bonus paid in cash	14,000
Bonus utilized in reduction of premium	16,000
Interest and dividends accrued	7,500
Income tax there on	800

7. What are the Difference between Share and Debentures?

8. Present the profit and Loss and Balance sheet of a bank with imaginary figures as per the new norms.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Sibi Ltd. issued 4,000 shares of Rs. 10 each at a premium of Rs. 2 per share.

The amount was payable as under:

On application	Rs. 3 per share
On allotment	Rs. 4 per share (including premium)
On first call	Rs. 3 per share
On second call	Rs. 2 per share

The company received applications for 5,000 shares and the allotment was made as under:

(a) Applicants for 200 shares - Nil

(b) Applicants for 800 shares - Full

(c) Applicants for 4,000 shares - 3,200 shares

All moneys were duly received except the first call on 200 shares and final call on 300 shares. Pass journal entries and prepare balance sheet of the company.

10. Moorthi Ltd. which had Rs. 50,00,000 10% debentures outstanding, made following purchase in the open market for immediate cancellation:

1.4.2007	1,000 debentures of Rs. 100 each at Rs. 99
1.9.2007	2,000 debentures of Rs. 100 each at Rs. 97.

You are required to give the journal entries for purchase and cancellation of the debentures.

(a) If the above purchase rates are 'Ex-interest'

(b) If the above purchase rates are 'Cum-interest'. Assume that interest payable every year on 30th June and 31st December.

11. Moon and Star Co. Ltd is a company with an authorized capital of Rs 5,00,000 divided into 5,000 equity shares of Rs 100 each on 31.12.2005 of which 2,500 shares were fully called up. The following are the balances extracted from the ledger as on 31.12.2005.

Trial balance of Moon and Star Co.Ltd.

Debit	Rs.	Credit	Rs.
Opening Stock	50,000	Sales	3,25,000
Purchase	2,00,000	Discount	3,150
Wages	70,000	P/L Account	6,220
Discount Allowed	4,200	Creditors	35,200
Insurance (Upto 31.3.2006)	6,720	Reserves	25,000
Salaries	18,500	Loan from M.D	15,700
Rent	6,000	Share capital	
General Expenses	8,950	(2500 × Rs. 100)	2,50,000
Printing	2,400		
Advisement	3,800		
Bonus	10,500		
Debtors	38,700		
Plant	1,80,500		
Furniture	17,100		
Bank	34,700		
Bad Debts	3,200		
Calls in Arrears	5,000		
	6,60,270		6,60,270

You are required to prepare profit and loss account for the year ended 31.12.2005 and a balance sheet as on that date. The following further information is given:

(a) Closing stock was valued at Rs. 1,91,500

(b) Depreciation on plant at 15% and on furniture at 10% should be provided.

(c) A Tax provision of Rs. 8,000 is considered necessary.

The directors declared an interim dividend on 15.8.85 for six months ending June 30, 2005 @ 6%.

12. The following is the Balance Sheet of C Ltd. as on 31-3-2003:

Liabilities	Rs.	Assets	Rs.
Issued and Paid up:		Goodwill	20,000
25,000 Pref. Shares of Rs. 10 each	2,50,000	Leasehold Premises	1,07,000
25,000 Equity Shares of Rs. 10 each	2,50,000	Plant and Machinery	60,000
Current Liabilities:		Patents	1,73,900
Sundry Creditors	40,000	Stock	34,000
Bank Overdraft	36,000	Debtors	56,000
		Cash	100
		Preliminary Expenses	2,000
		Profit and Loss A/c	1,23,000
	5,76,000		5,76,000

The Company proved unsuccessful and resolutions were passed to carry out the following scheme of reconstruction by reduction of capital:

(a) That the Preference Shares be reduced to an equal number of fully paid shares of Rs. 5 each.

(b) That the Equity Shares be reduced to an equal number of fully paid shares of Rs. 2.50 each.

(c) That the amount so available be utilised towards wiping out losses and reduction of assets as follows:

Preliminary Expenses, Goodwill and Profit and Loss Account to be written off entirely, Rs. 27,000 to be written off Leasehold Premises, Rs. 14,000 to be written off stock, Rs. 6,000 to be provided for doubtful debts, 20% should be written off plant and Machinery and the balance be written off Patents.

Make journal entries in the books of the company and prepare the Balance Sheet giving effect to the above scheme.

13. H Ltd. acquired 80,000 shares of Rs. 10 each in S Ltd. on 1st October, 2001. The summarised Balance Sheets of H. Ltd. and S Ltd. on 31st March, 2002 were:

Balance Sheets

Liabilities	H. Ltd. Rs.	S. Ltd. Rs.	Assets	H. Ltd. Rs.	S. Ltd. Rs.
Share capital in shares of Rs.10 each	20,00,000	10,00,000	Goodwill	1,00,000	–
Reserves	1,00,000	1,50,000	Machinery	5,00,000	4,50,000
			Furniture	20,000	40,000

Liabilities	H. Ltd. Rs.	S. Ltd. Rs.	Assets	H. Ltd. Rs.	S. Ltd. Rs.
Prove and loss A/c	50,000	45,000	Shares in S. Ltd.	8,80,000	–
9% debentures	–	2,00,000	9% Debenture in S. Ltd.	80,000	–
Creditors	4,00,000	2,00,000	Stock	5,20,000	6,50,000
Bills payable	20,000	10,000	Debtors	1,80,000	2,70,000
			Bills receivable	10,000	15,000
			Cash	2,80,000	1,80,000
	25,70,000	16,05,000		25,70,000	16,05,000

Bills Receivable of S. Ltd. include bills for Rs. 8,000 accepted by H. Ltd and creditors of S. Ltd. include Rs. 20,000 due to H. Ltd. An amount of Rs. 30,000 was transferred by S. Ltd. from the current year's profits to reserves.

You are required to prepare the Consolidated Balance Sheet as on 31st March. 2002 showing therein how your figures are made up.

14. From the following particulars, prepare the final accounts of KSRCAS Bank Ltd. for the year ended 31.3.2015.

Particulars	Dr. (Rs.)	Cr. (Rs.)
Share Capital (1,00,000 shares of Rs.10 each, Rs.5 paid up)	–	5,00,000
Reserve Fund	–	10,00,000
Fixed deposits	–	20,00,000
Savings Bank deposits	–	30,00,000
Current Accounts	–	70,00,000
Borrowed from banks	–	2,00,000
Investments	30,00,000	–
Premises	12,00,000	–
Cash in hand	60,000	–
Cash at Bank	28,00,000	–
Money at call and short notice	3,00,000	–
Interest accrued and paid	2,00,000	–
Salaries	80,000	–

Particulars	Dr. (Rs.)	Cr. (Rs.)
Rent	30,000	–
P and L A/c (1.4.2014)	–	1,60,000
Interest earned	–	4,50,000
Bills discounted	5,00,000	–
Bills payable	–	8,00,000
Loans advances, overdraft and credits	70,00,000	–
Unclaimed dividends	–	30,000
Sundry creditors	–	30,000
Total	1,51,70,000	1,51,70,000

The bank had the bills for Rs. 14,00,000 as collection for the its constituents and also acceptance and endorsements for them amounting to Rs. 4,00,000.

15. List out the difference between internal reconstruction and external reconstructions.

DE–423

Sub. Code
21

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2017.

Second Semester

HUMAN RESOURCE MANAGEMENT

(Upto 2012-13 Academic year and 2013 Calendar year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Explain the nature and scope for personnel function in an organisation.

2. What is job design? How it is different from job analysis?

3. 'Induction is the guided adjustment of employee to the organisation and his work environment'. Explain.

4. What is transfer? Why do companies transfer their employees?

5. "Job evaluation does not usually price jobs". Explain.

6. Explain the different types of human resource records.

7. What are the statutory provisions regarding employee health in industrial organisation?

8. Explain the objectives of maintaining discipline in an organisation.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Describe the various functions of human resource management.

10. What is human resource planning? Identify its objectives and role in human resource management.

11. Discuss the various steps involved in the selection process.

12. Explain the factors which should be taken into consideration while formulating a compensation plan.

13. "Fringe benefits have psychological and social base". Discuss.

14. Discuss briefly the need and measures of employee motivation.

15. Explain the process of personnel audit. What are the areas in which this audit should be conducted?

DE–424

Sub. Code
22

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2017.

Second Semester

BANKING AND INSURANCE LAWS

(Upto 2012–13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the principles of commercial Banks?
2. How E- Banking differs from traditional banking?
3. What are the various types of Negotiable Instruments?
4. What are the various forms of Lending?
5. What are the functions of IRDA?
6. List out the different methods of handling risks.
7. What are the various types of borrowers?
8. What are the various ways of privatisation of Insurance business?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Enumerate the functions of RBI.

10. Explain the relationship between a Banker and a customer.

11. Describe the various kinds of Endorsements.

12. Elucidate the considerations for sound lending.

13. Explain the general principles of Insurance.

14. Describe the duties of a paying banker.

15. Explain the classification of Insurance.

DE–425

Sub. Code
23

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2017.

Second Semester

Corporate Secretaryship

DIRECT TAXES

(Upto 2012 – 13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Define the following terms :

   (a) Assessment Year

   (b) Assessee and

   (c) Person.

2. What are the deductions allowed u/s 24 and what extent its allowed?

3. What are the powers of Income Tax Officers?

4. Mr. X is employed at Amritsar on a salary of Rs. 3,000 pm. The employer is paying HRA of Rs. 350 pm. But the actual rent paid by him (employer) is Rs. 500 pm. He is also getting 2% commission on turnover achieved by him and turnover is Rs. 1,50,000. Calculate gross salary.

5. The following are particulars of income of Mr. Sultan, for the assessment year 2014-15.

		Rs.
(a)	Income from House Property (Computed)	61,200
(b)	Business Income	80,000
(c)	Dividend (Gross) from a Co-operative Society	500
(d)	Long term Capital gain from land	1,800
(e)	Life Insurance premium on his own life,	28,000
(f)	Deposit in National Savings Scheme 1992	12,500

Compute his total income.

6. Compute the income, for the year ending 31st March, 2015 under the head 'Income from other sources' of Mr. Devakumar. His investment were :

(a) 5% Govt. securities Rs. 70,000.

(b) 7.5% Agra municipal bonds Rs. 50,000.

(c) 9% debentures of a company Rs. 30,000.

(d) 7% capital investments bonds Rs. 20,000.

7. The following are the particulars of income of Mr. NSM for the previous year ended 31.3.2015.

	Rs.
Loss from house property	6,000
Interest received on Sundry Advances	3,000
Cloth business income	70,000
Share of loss in a firm	18,000
Loss in speculation	3,200
Dividends	5,000
Short term capital gains	1,500
Long term capital gains	21,000

Compute the gross total income of Mr. 'NSM' setting off the different losses against other incomes and state losses, which could be carried forward.

8. Business income of an individual for the Assessment Year. 2015-16 has been determined by the assessing officer at Rs. 2,50,000. Later, it is found that he has not considered the following while determining the income :

		Rs.
(a)	Depreciation for the current year	12,000
(b)	Unabsorbed depreciation carried forward	15,000
(c)	Unabsorbed business loss carried forward from A.Y. 2012-2013	3,000

Determine the total income for the A.Y. 2015-16.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the incomes totally exempt from tax u/s 10 of Income Tax Act 1961.

10. Explain the deductions allowed in respect of certain payments u/s 80G.

11. The following particulars relates to income of Mr. Metha for the previous year 2014-15. He is employed in a cotton textile mill at Bengaluru on a monthly salary of Rs. 25,000. He is also entitled to a commission @ 1% of sales achieved by him. The sale effected by him during the previous year amounted to Rs. 40,00,000. He received the following allowances and perquisites during the previous year :

(a) Dearness pay @ Rs.6,000 pm.

(b) Bonus @ two months basic salary.

(c) Entertainment allowance @ Rs. 2,000 pm.

(d) House rent allowance @ Rs. 5,000 pm.

(e) He spent Rs. 6,000 pm as rent of the house occupied by him in Bangaluru.

(f) The employer paid Rs. 10,000 towards the income tax liability of Mr. Metha.

(g) He has also been provided with gas, electricity and water facility and employer spent Rs. 15,000 on these.

(h) He and his employer both contribute 15% of his salary to his recognised provident fund.

(i) Interest credit to this fund @ 9% amounting to Rs. 30,000 during the previous year.

Compute his taxable salary income.

12. Mr. Kannan owns three houses. From the following details calculate his income from house property.

Particulars	House 1	House 2	House 3
Municipal Value	50,000 pa	1,00,000 pa	70,000 pa.
FRV	60,000 pa	1,20,000 pa	1,00,000 pa
Standard rent	55,000 pa	1,10,000 pa	1,05,000 pa
Rent received	Nil	15,000 pm	Nil
Municipal Taxes	2,500	15,000	5,000
Interest on loan for construction	12,000	24,000	18,000
Vacancy period	Nil	2 Months	Nil
Unrealised Rent	Nil	Nil	Nil
Nature of occupation	Self Occupied	Let out	Own Business

13. Following are the particulars of assets sold during the previous year 2014-15. Calculate the taxable amount of capital Gains if CII for 2014 – 15 is 1024.

Assets	Year of Acquisition	CII	Cost of Acquisition	FMV as on 1-4-81	Selling expenses	Selling price
Shop	1980 – 81	100	20,000	40,000	10,000	3,80,000
Jewellery	1980 – 81	100	10,000	55,000	–	4,75,600
Shares	1982 – 83	109	22,000	–	2,000	1,90,000
Shares	1990 – 91	182	8,000	–	1,000	20,000
Plant (Depreciable)	1982 – 83	109	4,00,000 (WDV)	–	–	7,00,000
Residential House	1984 – 85	125	60,000	–	–	4,20,000

14. Giri is an employee of a Private Limited Company based in Coimbatore. He gets Rs. 5,000 per month as salary. Besides the employer provides him a housing facility at concessional rate (lease rent of unfurnished house Rs. 46,000) Cost of furniture Rs. 50,000. Rent paid by the assessee Rs. 10,000 and medical allowance of Rs. 1,200 per month. Determine the net income and tax liability of Giri for the assessment year 2015-16 after giving due consideration to the following particulars.

	Rs.
Long term capital gain	16,000
Winning from Lottery (Gross)	60,000
Expenses incurred in collecting Lottery prize	1,000
Mediclaim insurance premium paid on his wife's life	2,000
Investment in Eligible infrastructure bonds	30,000
Contribution to public provident funds	80,000
Life insurance premium on own life (sum assumed Rs. 1,00,000)	30,000

15. From the following profit and loss account of Mr. Ananthasekaran, Compute taxable income for the assessment year 2015-16.

	Rs.		Rs.
Opening stock	15,000	Sales	1,80,000
Purchases	40,000	Closing stock	20,000
Wages	20,000	Gift from father	10,000
Rent	46,000	Sale for car	17,000
Repairs for car	3,000	Income tax refund	3,000
Medical expenses	3,000		
General expenses	10,000		
Depreciation of car	4,000		
Profit for the year	89,000		
	2,30,000		2,30,000

Following is the further information:

(a) Mr. Ananthasekaran carries on his business from a rented premises half of which is used as his residence.

(b) Opening stock as well as Closing stock valued at 15% below cost.

(c) Mr. Ananthasekaran bought a car during the year for Rs. 20,000. He charged 20% depreciation on the value on the car. The car was sold during the year for Rs. 17,000. The use on the car was 3/4th for the business and 1/4th for personal use.

(d) Medical expenses were incurred during the sickness on Mr. Ananthasekaran for his treatment.

(e) Wages include Rs. 250 per month on account of Mr. Ananthasekaran's driver for 10 months.

DE–426

Sub. Code
24

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2017.

Second Semester

ADVANCED COMPANY LAW

(Upto 2012-13 Academic Year & 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What do you mean by principle of majority rule?

2. What are the grounds for compulsory winding up of a company?

3. Discuss the rules regarding payment of dividend.

4. Enumerate the types of investigations carried out in a company.

5. Explain the relationship between MNCs and the host countries.

6. What are the effects of insider trading?

7. Explain the winding up process of companies followed in USA.

8. Narrate the liabilities of a company auditor.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Write a note on prevention of oppression in companies.

10. Bring out the consequences of a winding up order.

11. Give the powers of inspectors regarding investigation of companies.

12. Explain the distinguishing features of company law in U.K.

13. State the regulations of SEBI on Anti-Insider trading.

14. What are the rights and duties of a company auditor?

15. Give the provisions of the companies Act relating to appointment, resignation and removal of an auditor of a company.

DE–427

Sub. Code
25

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2017.

Second Semester

COST AND MANAGEMENT ACCOUNTING

(Upto 2012-13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Define – Cost Accounting. State the various objectives of Cost Accounting.

2. The following information is available for job 4321, which is benign produced at the request of a customer :

Particulars	Dept. A	Dept. B	Dept. C
Material consumed (Rs.)	4,000	1,000	1,500
Direct labour :			
Wage rate per hour (Rs.)	3	4	5
Direct labour hours	300	200	400

In accordance with company policy the following are chargeable to jobs :

Fixed production overheads – Rs. 5 per direct Labour hour

Fixed administration overheads – 80% of works cost

Profit mark up – 20% margin on selling price.

Required :

Calculate the total cost and selling price of job 4321

Assume that sharply after the job is completed the original customer goes bankrupt and the job is not delivered. The only other possible customer is prepared to pay Rs. 9,000. Briefly indicated, with reasons, whether you would accept the offer of Rs 9,000.

3. A Product passes through three distinct processes to Completion. These processes are numbered respectively I, II and III. During the week ended 15th January 2001, 500 units are produced. The following information is obtained.

Particular	Process I Rs.	Process II Rs.	Process III Rs.
Direct Materials	3,500	1,600	1,500
Direct Labour	2,500	2,000	2,500

The Overhead expenses for the period were Rs. 1,400 apportioned to the processes on the basic of wages. No work-in-progress or process stocks existed at the beginning or at the end of the week. Prepare process Account.

4. The following was the expenditure on a contract for Rs. 6,00,000 commenced in January 2001. Materials Rs. 1,20,000; Wages Rs. 1,64,400; Plant Rs. 20,000. Business Charges Rs. 8,600; Cash received on account to 31st December, 2001 amounted Rs 2,40,000 benign 80 per cent of work certified., the value of materials in hand on 31.12.2001 was Rs 10,000. Prepare the contract account for 2001 showing the profit to be credited to the year's profit and loss account. Plant is to be depreciated at 10%.

5. Calculate P/V Ratio from the following information :

   (a) Given : Selling price Rs. 10 per unit. Variable cost per unit Rs. 6

   (b) Given the profits and sales of two periods as under

Sl.No	Year	Sales Rs.	Profit Rs.
1	2000	1,50,000	20,000
2	2001	1,70,000	25,000

6. The Balance sheets of Anu Ltd. at the end of 1993 and 1994 are given below. You are required to prepare a schedule of changes in working capital.

Liabilities	1993 Rs.	1994 Rs.	Assets	1993 Rs.	1994 Rs.
Share capital	1,00,000	1,50,000	Land	1,00,000	1,00,000
Share premium	–	5,000	Plant at cost	1,04,000	1,00,000
General reserve	50,000	60,000	Furniture at cost	7,000	9,000
P & L a/c	10,000	17,000	Investment at cost	60,000	80,000
5% Debentures	70,000	50,000	Debtors	30,000	70,000
Provision for depreciation on Plant	50,000	56,000	Stock	60,000	65,000
			Cash	30,000	45,000
Provision for depreciation on Furniture	5,000	6,000			
Provision for Taxation	20,000	30,000			
Creditors	86,000	95,000			
	3,91,000	4,69,000		3,91,000	4,69,000

7. Discuss about the difference between Funds Flow Statement and Cash Flow Statements.

8. List out the various objectives of interpretation of financial statements.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. What is management Accounting? How it is difference between Cost Accounting and Management Accounting?

10. In respect of a factory the following figures have been obtained for the year 2001.

Cost of materials Rs. 6,00,000; Direct Wages Rs. 5,00,000; Factory Overhead Rs. 3,00,000; Administrative overheads Rs. 3,36,000; Selling overheads Rs. 2,24,000; Distribution overheads Rs. 1,40,000 and Profit Rs. 4,20,000.

A work order has been executed in 2002 and the following expenses have been incurred : Materials Rs. 8,000 and wages Rs. 5,000.

Assuming that in 2002 the rate of factory overheads has increased by 20%, distribution overheads have gone down by 10% and Selling and Administration overheads have each gone up by 12.5%, at what price should the product be sold so as to earn the same rate of profit on the selling price as in 2001? Factory overhead is based on direct wages while all other overheads are based on factory cost.

11. Work out in appropriate cost sheet from the unit cost per passenger Km, for the year 2001–02 for a fleet of passenger buses run by a Transport Company form the following figures extracted from its books.

5 passenger buses costing Rs. 50,000, Rs. 1,20,000, Rs. 45,000, Rs. 55,000 and Rs. 80,000 respectively: Yearly depreciation of vehicles – 20% of the cost. Annual repair, maintenance and spare parts – 80% of depreciation. Wages of 10 drivers @ Rs. 100 each per month, wages of 20 cleaners @ Rs. 50 each per month. Yearly rate of interest @ 4% on capital. Rent of six garages @ Rs. 50 each per month. Director's fees @ Rs. 400 per month, office establishment @ Rs. 1,000 per month, license and taxes @ Rs. 1,000 for every six months, realization by sale of old tyres and tubes @ Rs. 3,200 for every six months, 900 passengers were carried over 1,600 kms during the year.

12. The following figures relate to the trading activities of a company for the year ended 31.12.1987.

Particulars	Rs.	Particulars	Rs.
Sales	1,00,000	Salary of salesmen	1,800
Purchases	70,000	Advertising	700
Closing stock	14,000	Travelling Expenses	500
Sales return	4,000	Salaries (office)	3,000
Dividend received	1,200	Rent	6,000
Profit on sale of assets	600	Stationery	200
Loss on sale of shares	300	Depreciation	1,000
Opening stock	11,000	Other expenses	2,000
		Provision for tax	7,000

You are required to calculate :

(a) Gross profit ratio

(b) Operating ratio

(c) Operating profit ratio

(d) Net profit ratio.

13. From the following balance sheets as on 31.12.1993 and 31.12.1992, prepare a cash flow statement

Balance Sheets

Liabilities	1993 Rs.	1992 Rs.	Assets	1993 Rs.	1992 Rs.
Share capital	1,50,000	1,00,000	Fixed assets	1,50,000	1,00,000
Profit & Loss A/c	80,000	50,000	Goodwill	40,000	50,000
General reserve	40,000	30,000	Stock	80,000	30,000
6% Debentures	60,000	50,000	Debtors	80,000	50,000
Creditors	40,000	30,000	Bills receivable	20,000	30,000
Outstanding expenses	15,000	10,000	Bank	15,000	10,000
	3,85,000	2,70,000		3,85,000	2,70,000

14. Calculate turn over ratios from the following figures :

Items	Rupees in lakhs
Sales	17,874
Sales returns	4
Other income	53
Cost of sales	15,440
Admin and selling expenses	1,843
Depreciation	63
Interest expenses [non-operating]	456
Purchases	15,000
Purchases returns	5
Debtors	10,000
Bills receivables	2,000
Creditors	5,000
Bills payable	3,000
Opening stock	4,000
Closing stock	5,000
Fixed assets	5,000

15. You are required to compile a statement showing cost and profit from the information given :

	Rs.
Direct material (purchase)	45,000
Direct expenses	55,000
Indirect materials	15,000
Factory rent and rates	10,000
Insurance of factory	25,000
Office rent	14,000

	Rs.
Office salaries	13,000
Legal charges	12,000
Bank Commission	12,500
Salesman's salaries	16,500
Showroom rent	24,000
Advertisement	23,000
Travelling expenses	19,000
Carriage outward	18,000
Profit	15% of sales

The following are balances :

Opening direct materials	Rs. 27,000
Opening work-in-progress	Rs. 43,000
Closing direct materials	Rs. 33,300
Closing work-in-progress	Rs. 26,000

DE–428

Sub. Code
31

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2017.

Third Semester

ORGANISATIONAL BEHAVIOUR

(Upto 2012-13 AY and 2013 CY)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Discuss the various elements of organizational behaviour.

2. How does personality relate to organizational behaviour?

3. Bring out different barriers of organizational communication.

4. Explain the various sources of stress.

5. What are the characteristics of power in business organisation?

6. What do you mean by organizational climate?

7. Discuss the types of organizational development interventions.

8. Elaborate the relevance of motivation to organizational behaviour.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss how an understanding of attitudes is useful for the study of organizational behaviour.

10. Define leadership styles. What are the kinds of leadership styles?

11. Discuss about the character and significance of organizational culture.

12. Critically examine causes of organizational changes.

13. What is group dynamics? Explain its nature.

14. Examine about global scenario of organization behaviour.

15. Discuss about principles of effective communication.

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DE–429

Sub. Code
32

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2017.

Third Semester

LABOUR AND INDUSTRIAL LAWS

(Upto 2012-13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What are the provisions of penalities under the Factories Act, 1948?

2. Explain the liability of the employer in the event of workman contracting any occupational disease.

3. When and under what circumstances strikes or lockouts become illegal?

4. What are the functions and duties of inspectors under the Employee's State Insurance Act, 1948?

5. State the rules as to payment and recovery of contributions by an employer under Employee's Provident Fund Act.

6. What are the rules relating to nomination by an employee under the payment of gratuity act, 1972?

7. What are the conditions for eligibility of bonus? When is an employee disqualified from receiving bonus?

8. Write a note on : Registration on Trade Union.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the rules regarding approval, licensing and registration of factories.

10. Describe the provisions of the Workmen's Compensation Act, 1923 relating to (a) review, (b) commutation of half-monthly payments, and (c) distribution of compensation.

11. What is Employee's State Insurance Fund? What are the purposes for which the fund may be expended?

12. What are the provisions of the Employee's Provident Fund Act, 1952 relating to the constitution of provident fund scheme and pension scheme?

13. Explain the rules for determination and distribution of bonus. How can bonus be recovered by the employees?

14. What are the various methods for the settlement of disputes under the Industrial Disputes Act, 1947?

15. Discuss the provisions of the Payment of Wages Act, 1936 with regard to deductions which may, and which may not, be made from wages?

DE–430

Sub. Code
33

DISTANCE EDUCATION

M.B.A. DEGREE EXAMINATION, MAY 2017.

Third Semester

Corporate Secretaryship

SECURITIES LAWS AND FINANCIAL MARKETS

(Upto 2012 — 13 Academic year and 2013 Calendar year)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions

1. List and explain the money market instruments.

2. What is the importance of Commercial Bill Market?

3. How does SEBI protect the interest of Investors?

4. State the role of stock exchanges in the financial systems of a country.

5. Write a note on performance evaluations of mutual funds.

6. What is the method of trading in a stock exchange?

7. Mention the benefits of credit rating.

8. What are the advantages of depository system?

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Bring out the development of the financial system in India.

10. What are the various agencies and institutions involved in primary market?

11. Explain the weakness of Indian Financial System.

12. Discuss the services of merchant bankers.

13. Describe the structure of mutual fund operations in India.

14. Explain the working of various credit rating agencies in India.

15. "Indian stock market is suffering from many limitations". What are they?

DE–431

Sub. Code
34

DISTANCE EDUCATION

M.B.A(CS) DEGREE EXAMINATION, MAY 2017.

Third Semester

INDIRECT TAXES

(Upto 2012 – 2013 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. State the features of indirect taxes.

2. Write a note on : Major reforms in indirect taxation.

3. What are the basic ingredients of SRP of clearance of goods under Central Excise?

4. Differentiate MODVAT from CENVAT.

5. State the services in respect of which service tax is payable?

6. What is the purpose of the powers of prohibition in matters of import and export?

7. What are the owner's rights to deal with warehoused goods?

8. What points an applicant should consider before applying for registration as a dealer?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Explain the various types of excise duty leviable under the Excise Act.

10. Discuss the law relating to valuation of excisable goods for the purpose of charging excise duties.

11. What are the objectives as VAT? Explain also the advantages of VAT.

12. Explain the various modes of assessment under service tax.

13. Explain the relevance of the duty drawback scheme. State the type of transactions entitled for duty drawback.

14. Explain the following :

    (a) Inter – State sales;

    (b) Intra – State sales;

    (c) Sale in the course of import; and

    (d) Deemed sales.

15. Define taxable turnover. How is it ascertained?

DE–432

Sub. Code
35

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2017.

Third Semester

COMPANY SECRETARIAL PRACTICE

(Upto 2012 – 2013 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Detail the procedure for the incorporation of a private company.

2. Draft specimen resolution for increase in authorised capital.

3. Explain the procedure for the removal of a director.

4. When is a board meeting said to be duly convened and properly constituted?

5. State the provisions of the Companies Act 1956 relating to annual return.

6. When shall a company be deemed unable to pay its debts?

7. Draft a specimen directors report.

8. What are the requisites of a valid notice?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Under what circumstances is a private company deemed to be a public company under the Companies Act, 1956?

10. How are the shares in a company transferred? Can the board of directors refuse to register a transfer of shares?

11. Discuss the various ways in which the directors of a company may be appointed.

12. Draft a specimen auditor's report to be annexed to the balance sheet and profit and loss account of a public company.

13. Draft the notice for convening the first Board meeting of a public company along with agenda of the meeting.

14. When can a company be voluntarily wound up? Explain the procedure to be followed in such a winding up.

15. What are the measures provided in the Companies Act to protect the interests of a company regarding the appointment of sole-selling agent?

DE–433

Sub. Code
36

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2017.

Third Semester

CORPORATE RESTRUCTURING : LAW AND PRACTICE

(Upto 2012-13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What do you mean by Corporate Restructuring? State the need of Corporate Restructuring.

2. What is strategic planning? Discuss its essential features.

3. What are the underlying objectives in merger?

4. What are the types of amalgamation?

5. What does the term 'Bail out Takeover' imply? Discuss the legal aspects.

6. Distinguish between demergers and reconstruction.

7. Enumerate the main objectives which companies seek to attain from mergers.

8. What are the different alternatives available to a public company for 'buy–back'?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Discuss the scope and mode of Corporate Restructuring.

10. Explain the financial aspects of amalgamation.

11. Discuss the SEBI's regulations for takeover.

12. Explain the tax reliefs emerging in demerger to shareholders.

13. Explain the factors relevant for post-merger evaluation and analysis its success.

14. Describe the procedure and practice for buy-back of shares.

15. 'A strategic plan is the foundation on which all business activities can be connected'. Explain.

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DE–434

Sub. Code
41

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2017.

Fourth Semester

DRAFTING AND CONVEYANCING

(Upto 2012 – 13 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What are the basic requirements of deed?

2. Enumerate features of Insurance policies and its assignment.

3. Discuss the points of difference in exchange deed and gift deed.

4. Differentiate writ and special leave petitions.

5. Write a note on floating charge deeds.

6. Draft a testimony for an ex-employee.

7. Enumerate the contents of a petition.

8. What is an affidavit? Draft a model affidavit.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the rules, usage of appropriate words and expressions in drafting.

10. Mr. Y committed an offence by misappropriating the funds of your firm. Draft an order of suspension explaining the reason for suspension and punishment.

11. Discuss different types of mortgage deeds with examples.

12. Draft a revocable power of attorney deed for a NRI who intends to buy an immovable property in India

13. Draft an application to the IT Commissioner requesting for the tax relief for your company under the new provisions of the I.T. Act.

14. What is a copyright? Draft a specimen of copyright deed.

15. Mr. ZA is to be appointed as a dealer of the firm YB Ltd. Draft a dealership contract deed.

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DE–435

Sub. Code
42

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2017.

Fourth Semester

ECONOMIC LEGISLATIONS

(Upto 2012 – 2013 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. Explain the criteria for the grant of industrial license under IDRA.

2. State the salient features of competition Act.

3. What are the rights and duties of an 'Authorised Person'?

4. Write a note on : (a) Trade effluent (b) Stream (c) Occupier and (d) Pollution.

5. What are the powers of the State Government to declare air pollution control areas?

6. Explain the functions of Environmental Laboratories under the Environment Protection Act.

7. Explain the mode of filing complaint.

8. State the provisions of constitution of control advisory council under IDRA.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Discuss the establishment, construction and functions of development council under IDRA.

10. State as to how the competition Act, 2002 ensures that anti-competitive agreements about of dominant person and combinations does not take place.

11. What are the provisions of FEMA with respect to regulation of 'Current Account Transactions'?

12. Discuss the procedure in the district forum on receipt of complaint.

13. Enumerate the powers of the Central Government to take anti-pollution measures under environment protection Act.

14. "The object of the Air (Prevention and Control of Pollution) Act is the preservation of quality air and control of air pollution". Elucidate.

15. Describe the functions and functions of the Central Board Under the Water (Prevention and Control of Pollution) Act.

DE–436

Sub. Code
43

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2017.

Fourth Semester

Corporate Secretaryship

SECRETARIAL AND MANAGEMENT AUDIT

(Upto 2012–2013 Academic Year and 2013 Calendar Year)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. Discuss the professional standards of company secretary in practice.

2. What are the objectives of secretarial audit?

3. What are the scope and importance of status report?

4. What is meant by Securities audit? State its need.

5. What is the nature of systems audit?

6. Describe the scope of management audit.

7. Explain the principles and fundamentals of management audit.

8. Distinguish between cost audit and financial audit.

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Company secretary in practice is "exploring new horizons"— Comment.

10. Discuss the powers of secretarial auditor.

11. How can you verify the documents relating to charges'?

12. Explain the provisions relating to issue and transfer of securities.

13. Describe the significance of system audit.

14. Discuss the appraisal of management methods of performance.

15. "Cost audit as an aid to management"- Explain.

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DE–437

Sub. Code
44

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2017.

Fourth Semester

Corporate Secretaryship

INTERNATIONAL BUSINESS

(Upto 2012-13 AY and 2013 CY)

Time : Three hours Maximum : 100 marks

PART A — (5 × 8 = 40 marks)

Answer any FIVE questions.

1. What is International Business? How it can be regulated?

2. Explain the advantages of regional groupings of global business.

3. What are the types of trade policies?

4. List out the objectives of WTO.

5. When SAARC was launched? What are its objectives?

6. Describe the factors which determine the fluctuations in exchange rates.

7. Explain the achievements of India after the fourth ministerial meeting of WTO at doha.

8. Write short notes on :

   (a) IBRD

   (b) Arbitration agreements.

PART B — (4 × 15 = 60 marks)

Answer any FOUR questions.

9. Why India is attractive with regard to International Business? Justify with reasons.

10. Explain the impact of various environmental factors for the promotion of global business.

11. Explain the various motivating factors for growing regionalism and intra-regional trade.

12. Write a detailed note on the structure and functionalities of SAARC.

13. How is international business monitored and regulated over centuries?

14. Trace the origin for the establishment of WTO. What are the various functions and principles of WTO?

15. Explain the significance of IPR in International Business.

DE–438

Sub. Code
45

DISTANCE EDUCATION

M.B.A. (CS) DEGREE EXAMINATION, MAY 2017.

Fourth Semester

CORPORATE FINANCIAL MANAGEMENT

(Upto 2012–2013 Academic Year and 2013 Calendar Year)

(2005 onwards)

Time : Three hours Maximum : 100 marks

SECTION A — (5 × 8 = 40 marks)

Answer any FIVE questions.

All questions carry equal marks.

1. What are the significance of financial management?

2. How shares differ from Debentures?

3. What are the various types of Working Capital?

4. What do you mean by Marginal Cost of Capital?

5. What do you mean by Arbitrage Process?

6. What do you understand by Relevance theory of Dividend?

7. What are the various types of Dividends?

8. What are the merits of Equity Shares?

SECTION B — (4 × 15 = 60 marks)

Answer any FOUR questions.

All questions carry equal marks.

9. Explain the functions of Financial Management.

10. Describe the various assistance provided by the financial institutions.

11. Discuss the various theories of Working Capital.

12. Describe the concept of Weighted Average Cost of Capital.

13. Explain the determinants of Capital Structure.

14. Company X and Company Y are in same risk class and are identical in every fashion except that company X uses debt while company Y does not. The levered firm has Rs. 90,00,000 debentures, carrying 10% rate of interest. Both the firms earn 20% before interest and taxes on their total assets of Rs. 150 lakhs. Assume perfect capital markets, rational investors and so on; a tax rate of 15% for an all equity company.

    Compute value of firm X and Y using NI and NOI approaches assuming corporate tax rate being 50%

15. Following are the details regarding three companies A Ltd, B Ltd and C Ltd.

Particulars	A Ltd.	B Ltd.	C Ltd.
r	15%	5%	10%
Ke	10%	10%	10%
E (Rs.)	80	80	80

Calculate the value of an equity share of each of these companies applying Walter's formula when dividend payment ratio is (a) 50%, (b) 75%, and (c) 25%.